Entity C: Summit Healthcare

Financial Profile Report, FY 2024-2025. Source: Financial_Metrics_Benchmark_4_Entities.pdf (IRS Form 1120S/1065 line items and balance sheet). Risk score not calculated.

1. Executive Summary

Summit Healthcare is the largest entity, with net revenue of $6,120,500 and recomputed EBITDA of $1,180,000, a 19.28% margin, the highest of the four. Total debt of $1,150,000 gives leverage of 0.97x, below 1.0x and the lowest in the group.

Key metric	Value
Net revenue	$6,120,500
Recomputed EBITDA	$1,180,000
Total debt	$1,150,000
Debt / EBITDA	0.97x
EBITDA margin	19.28%
EBITDA / interest	28.1x

2. Revenue Analysis

Line item	Form line	Amount
Gross receipts / sales	1a	$6,200,000
Returns & allowances	1b	$79,500
Net revenue	1c	$6,120,500

Returns and allowances reduce gross receipts by 1.28%. Reconciliation check: $6,200,000 - $79,500 = $6,120,500, which matches the reported Line 1c.

3. EBITDA Reconciliation

Component	Form line	Amount	% of net revenue
Taxable income / net	21	$708,000	11.57%
+ Interest expense	13	$42,000	0.69%
+ Depreciation & amortization	14	$180,000	2.94%
+ Officer compensation	7	$250,000	4.08%
= Recomputed EBITDA		$1,180,000	19.28%

The benchmark formula adds officer compensation back to EBITDA, which is not standard EBITDA. The sensitivity in Section 6 shows the figures without that add-back.

4. Debt Structure and Leverage

Item	Form line	Amount	Share of debt
Short-term debt	17d	$250,000	21.74%

Item	Form line	Amount	Share of debt
Long-term debt	19d	$900,000	78.26%
Total debt		$1,150,000	100.00%

Debt / EBITDA = $1,150,000 / $1,180,000 = 0.97x. Total debt is 18.79% of net revenue.

5. Profitability and Coverage

Ratio	Value
EBITDA margin (EBITDA / net revenue)	19.28%
Taxable income margin	11.57%
Interest expense / net revenue	0.69%
EBITDA / interest expense	28.1x
Depreciation & amortization / net revenue	2.94%
Officer compensation / net revenue	4.08%

6. Analyst Commentary

• Interest expense of $42,000 is covered 28.1x by EBITDA. Debt is 18.79% of revenue, and 78.26% of it is long-term.

• Taxable income is 11.57% of net revenue, the strongest bottom-line margin. Returns and allowances are 1.28% of gross receipts, the lowest of the four.

• Sensitivity: officer compensation ($250,000) is 21.19% of EBITDA. Without that add-back EBITDA is $930,000 and leverage is 1.24x, still the lowest in the group.

Sensitivity	EBITDA	Debt / EBITDA
As reported (with officer add-back)	$1,180,000	0.97x
Excluding officer compensation add-back	$930,000	1.24x

7. Data Limitations

• The source lists tax-return and balance-sheet figures only. No bank-statement totals are given, so tax-to-bank variance (data integrity) cannot be assessed.
• No scheduled principal and interest payments are given, so debt service coverage (DSCR) is not calculated. EBITDA / interest is shown as a proxy.
• The risk score and risk category are intentionally excluded from this report.